

Outlook

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Follow-up: origination risk versus what happened next

Hi all,

I may be joining dots that do not belong together, so please challenge the premise.

Loan files contain origination PD, LGD and ECL fields, but the bank needs to know whether risk ordering survives into later repayment behaviour. The operating teams agree that more journeys are failing; they disagree on whether the customer, the bank or a downstream party owns the failure.

Could the answer be that higher PD bands show more arrears? Or are we actually seeing that missing or defaulted inputs create artificial separation? I also do not want us to miss the possibility that product and vintage explain more than the score.

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use March 2023 as the new evidence point rather than recycling the earlier conclusion. The practical decision is whether recalibration, segmentation or data remediation is the next step. Please send a working Excel file with the exception population and clear columns; I need the exceptions and counter-examples, not only an average.

Work from the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; collections cases, promises to pay and recovery payments; transaction-level timestamps, channels, amounts, statuses and error context; debit-order mandates, collection dates, suspensions and cancellations. The data supports discrimination and outcome analysis, not a complete IFRS 9 validation without default definitions, macro scenarios and accounting policy.

Regards